

3.2.2 Government objectives

Students study the principal economic objectives of stable prices, economic growth, full employment and the Balance of Payments. For each of the government objectives, students look at how they are measured, the factors that cause them and their implications, both positive and negative, for an economy. Students will learn that policies designed to achieve one of the objectives can often impact positively or negatively on achieving the other objectives.

3.2.2.1 Economic objectives of the government

Content	Additional information
• The main economic objectives of the government • Conflicts arising from the pursuit of government objectives • Other government objectives • Moral, ethical and sustainability considerations	Students should be able to understand: • the principal objectives of government policies (maintaining full employment, ensuring price stability, achieving economic growth and having a balance of payments) • that policies used to achieve one objective can have a negative impact on achieving other objectives • that there are other government objectives such as reducing inequality and managing environmental change • how the pursuit of a government objective can negatively affect groups of people and conflict with other objectives.

3.2.2.2 Economic growth

Content	Additional information
• The significance of economic growth to economies • Causes, costs and benefits of economic growth • Government policies to achieve economic growth	Students should be able to understand: • what is meant by economic growth and its significance to economies • the difference between GDP and real GDP and GDP per capita and be able to perform simple calculations involving these measurements.

3.2.2.3 Employment and unemployment

Content	Additional information
• Employment and unemployment and how they are measured • Types, causes and consequences of unemployment • Government policies to reduce unemployment	Students should be able to understand: • the main types of unemployment, such as structural, seasonal, frictional and cyclical, and be able to explain the factors that cause these • the consequences of unemployment for different groups within the economy.

3.2.2.4 Inflation and price stability

Content	Additional information
• What is inflation? • Measures of inflation • Causes of inflation • Consequences of inflation • Government policies to manage inflation	Students should be able to understand: • what is meant by inflation and the rate of inflation • how the rate of inflation can be measured using the Consumer Price Index (CPI) • how to perform simple calculations using CPI figures • the causes of inflation, including cost-push and demand-pull inflation • the consequences of inflation to different groups within the economy.

3.2.2.5 Balance of payments

Content	Additional information
• Balance of trade and balance of payments • Balance of payments surpluses and deficits on the current account • Government policies to influence the balance of payments	Students should be able to understand: • how to perform simple calculations using current account balance of payments figures • the meaning and significance of a balance of payments deficit and surplus on the current account • the reasons for a balance of payments deficit or surplus on the current account.

3.2.2.6 Distribution of income

Content	Additional information
• Income and wealth inequality • Causes of income and wealth inequality • Consequences of income and wealth inequality • Government policies to redistribute income and wealth and their consequences	Students should be able to understand: • the distribution of income in the UK • how inequality in the distribution of income can occur • how redistribution of income and wealth can be achieved through taxation and government spending.